

7. Discontinued operations

During the six months ended June 30, 2025, the Company committed to a plan to exit the Michigan market. The Company received approval from the board of directors of TerrAscend Corp. (the "Board"), together with TerrAscend Corp.'s consolidated entities, and is currently engaged in an active program to sell the assets of TerrAscend MI, which is expected to be substantially completed in the second half of 2025. The Company determined that its decision to exit the Michigan market is considered a strategic shift that will have a major effect on the Company's operations and financial results and met the criteria for classification as discontinued operations.

TerrAscend Corp.

Notes to the Unaudited Interim Condensed Consolidated Financial Statements

(Amounts expressed in thousands of United States dollars, except for share and per share amounts)

The following table summarizes the major classes of assets and liabilities of TerrAscend MI as of June 30, 2025 and December 31, 2024:

	June 30, 2025	December 31, 2024
	(In thousands)	
Current assets from discontinued operations		
Accounts receivable, net	324	656
Inventory	8,386	9,128
Prepaid expenses and other current assets	992	917
Property and equipment, net	\$ 23,290	\$ 59,854
Operating lease right of use assets	11,947	12,600
Total current assets from discontinued operations	\$ 44,939	\$ 83,155
Current liabilities from discontinued operations		
Accounts payable and accrued liabilities	\$ 6,816	\$ 6,376
Deferred revenue	1,683	1,554
Operating lease liability	12,447	12,994
Finance lease liability	1,923	1,864
Other liabilities	1,122	1,510
Total current liabilities from discontinued operations	\$ 23,991	\$ 24,298

The following table presents the results of operations of TerrAscend MI for the three and six months ended June 30, 2025 and 2024:

	For the Three Months Ended		For the Six Months Ended	
	June 30, 2025	June 30, 2024	June 30, 2025	June 30, 2024
	(In thousands)			
Revenue, net	\$ 6,190	\$ 10,327	\$ 12,883	\$ 21,685
Cost of Sales	4,307	6,003	8,878	12,800
Gross profit	1,883	4,324	4,005	8,885
Operating expenses:				
General and administrative	7,089	1,428	12,320	8,359
Amortization and depreciation	566	932	1,040	1,852
Impairment of property and equipment	34,959	—	34,959	—
Other operating expense (income)	57	(17)	57	(17)
Total operating expenses	42,671	2,343	48,376	10,194
Other expense (income)				
Finance and other expenses	46	329	127	677
(Loss) income from discontinued operations before provision for income taxes	(40,834)	1,652	(44,498)	(1,986)
Provision for income taxes	867	1,604	1,807	3,621
Net (loss) income from discontinued operations, net of tax	\$ (41,701)	\$ 48	\$ (46,305)	\$ (5,607)

ASC 360-10 requires a held-for-sale disposal group to be measured at the lower of its carrying amount and fair value less cost to sell. The Company adjusted the carrying amount of the assets in the disposal group within the scope of ASC 360-10 and recognized a total

impairment loss of \$34,959 on certain buildings, equipment, and leasehold improvements. The fair value of the disposal groups was primarily determined based on purchase offers from market participants subsequent to period end. An estimated cost to sell of 4% was